TO OUR SHAREHOLDERS

MANAGEMENT'S DISCUSSION AND ANALYSIS

Sales for the second quarter of $329.7 million compared to $312.5 million for 2003, while year-to-date sales were $635.1 million compared to $621.5 million last year. Earnings from operations for the second quarter increased 53% to $23.4 million from $15.3 million last year, while year-to-date earnings from operations were $42.8 million compared to $29.5 million last year. Sales and volumes increased in both the Fresh and Frozen Bakery operations, although the improvement was largely the result of strong Fresh Bakery performance.

All year-to-date earnings from operations comparisons exclude restructuring costs in the first quarter of 2003. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Net earnings for the second quarter increased 72% to $15.8 million or $0.62 per share, compared to $9.2 million or $0.36 per share last year. Year-to-date net earnings were $28.3 million or $1.11 per share, compared to $12.5 million or $0.50 per share last year.

Interest expense for the second quarter decreased to $1.5 million from $2.2 million last year, due to lower interest rates and lower debt levels. The effective tax rate for the second quarter was 28% compared to 31% last year. The tax rate differential was primarily due to rate differences in foreign jurisdictions.

Cash flow from operating activities for the second quarter increased to $32.5 million from a use of cash of $6.1 million last year. The significant improvement was due to higher earnings for the current quarter and favourable movement in working capital balances of $30.5 million compared to last year, primarily resulting from a $20.0 million increase in the accounts receivable securitization program.

The Company has for most of 2004 been exposed to interest rate fluctuations on its outstanding debt and accounts receivable securitization programs. During the quarter, the company entered into a series of interest rate swaps to fix its exposure to interest rate fluctuations on a notional amount of $130 million for terms of between 2 and 10 years. Details of these swap contracts are set out in Note 4 to the attached financial statements.

As a result, the Company has fixed its interest rate on approximately 70% of its notional exposure at June 30, 2004, at interest rates between 3.89% and 5.35%.

Fresh Bakery (fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the second quarter increased 7% to $234.6 million compared to $219.2 million last year. Earnings from operations before restructuring costs increased 80% to $16.9 million compared to $9.4 million last year.

As noted above, Fresh Bakery operations improved operating earnings by $7.5 million quarter-over-quarter. Of this improvement, $2.6 million was due to the impact of a strike in the Fresh Bakery operations on last year's results. Price increases initiated in early 2004 to offset rising input costs have also restored margins to more normalized levels. The performance of the Atlantic Canada bakeries contributed to improved profitability, as new management continued to make good progress in resolving operating issues.

Frozen Bakery (frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the second quarter increased 2% to $95.1 million compared to $93.3 million last year. Earnings from operations before restructuring costs increased 9% to $6.5 million from $5.9 million last year. The U.K. bakery operations produced strong results in the quarter, and expansion is underway at two facilities to meet increasing demand for specialty bakery products. A major work stoppage involving several large U.S retail customers impacted sales growth in the frozen par-baked operations. With these labour issues resolved, the Company expects business with these customers to return to normal growth rates.

The impact of low carb diets was mitigated through increased sales of whole grain and premium bread categories and through new product innovation. In the white bread category, *Dempster's Stays Fresh* continued to increase market share by delivering a value-added benefit to consumers. A new line of reduced carbohydrate and whole grain frozen par-baked products was launched in the second quarter, further positioning the Company to meet a range of consumer needs.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2003 and 2002; and the quarters ended March 31, 2004 and June 30, 2004 (millions of dollars except share amounts).

2004	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	Total
Sales	$305	$330	-	-	$635
Net earnings	12.5	15.8	-	-	28.3
Net earnings per share (basic)	$0.49	$0.62	-	-	1.11
Net earnings per share (diluted)	$0.48	$0.61	-	-	1.09
Cash flow from operations	$28	$32	-	-	$61

2003	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	Total
Sales	$309	$313	$324	$317	$1,263
Net earnings	3.3	9.2	11.3	11.8	35.6
Net earnings per share (basic)	$0.14	$0.36	$0.44	$0.47	1.42
Net earnings per share (diluted)	$0.14	$0.35	$0.44	$0.46	1.39
Net earnings- before restructuring cost	$8.1	$9.2	$11.3	$11.8	$40.4
Net earnings per share- before restructuring cost	$0.34	$0.36	$0.44	$0.47	$1.61
Cash flow from operations	$(3)	$5	$30	$34	$66

2002	1st Qtr.	2nd Qtr.	3rd Qtr.	4th Qtr.	Total
Sales	$ 231	$ 256	$ 273	$ 269	$ 1,029
Net earnings	6.4	10.0	11.9	10.4	38.7
Net earnings per share (basic and diluted)	$ 0.30	$ 0.47	$ 0.55	$ 0.48	$ 1.80
Cash flow from operations	$(1)	$22	$49	$22	$92

The Company declared a dividend of $0.06 per share payable on October 1, 2004 to shareholders of record on September 10, 2004.